

invested with the valuation based on these plans. If some of our growth gems can grow 5x, why can't all the others?

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You plan to list some of your growth gems. How is that progressing?

That is still on track... In Susten, for example, we are listing the InvIT (infrastructure investment trust), because that is where most of the capital is going to be. Therefore,

we have a much lower price to book than others, and [it] is sort of undervalued, in that sense; this is a very good franchise that we can grow. Beyond that, I would just look at all our growth gems. Which business gets there faster will depend on execution... Our real estate business has the ability to do joint development with many partners—and we'll be able to deliver great products there. We have delivered

for value creation if we can achieve 5x growth in our growth gems.

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Can we call it your de-risking strategy because of how you've invested in different sectors and identified your growth gems?

Our foray into the services businesses was never thought of as de-risking, but it was part of the DNA to say, 'here is where opportunities lie, and this

that creates a lot of trust with shareholders, which we haven't fully leveraged in many cases. And the second thing we have is synergies within our businesses. Many of our services businesses have grown from our key businesses. Mahindra Finance is a classic example; the logistics business is another example. That synergy is getting even stronger now as we bring the group together to do a lot of things. We made collaboration a minimum requirement for any leader and that has reaped significant dividends.

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With the group as diversified as it is today, how much of a challenge is capital allocation?

What we found is if we deliver results, there is no dearth of capital. We've raised capital without any formal fundraising. We did not appoint investment bankers... we didn't say that we wanted to raise funds. Our approach has been that we need marquee partners; and we get to bring them in only if they add value and there's a long-term partnership with it.

Therefore, we don't need funds—we have a very large amount of cash on the balance sheet right now. So, none of these investments were made because we needed funds, it was because we felt they could add value and grow our businesses. And in some cases, external validation is important. We've

DECODING M&M'S PORTFOLIO

CORE

- ▶ Mahindra Tractors
- ▶ Mahindra Auto (including SUVs and LCVs)
- ▶ Mahindra Finance
- ▶ Tech Mahindra

GROWTH GEMS

- ▶ Mahindra Lifespaces
- ▶ Club Mahindra
- ▶ Car & Bike
- ▶ Mahindra Accelo
- ▶ Mahindra Last Mile Mobility
- ▶ Classic Legends (including brands like Jawa and Yezdi)
- ▶ Mahindra Logistics
- ▶ Susten by Mahindra

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Susten will be the first to move to value creation. And we will continue to look at similar opportunities for other growth gems. That is what will unlock shareholder value. And the other way is by bringing [new] investors in. It's a combination of both of those things.

We see tremendous potential across many of our businesses right now. In the short term, I see the maximum potential in Mahindra Finance because

India's first net zero residential community—and that got sold out in three days. We deliver India's best holidays but only for a Club Mahindra member; can we do it for a much wider population and on a consistent basis? In logistics, we have got a very good business, but it can be five or 10 times in size. We will obviously continue to put forth strong execution across each of them. There's a \$17-billion opportunity

is what we're going to do as a result.' As we think of 5x growth for many of them going forward and significant growth for Tech Mahindra and Mahindra Finance—that will continue to create enormous value—we think of it more as a value creation approach in areas that we're good in.

What does Mahindra have that someone else in hospitality or logistics or real estate may not have? One is, we have a brand